CONSTRUCTION TASK ORDER (GMP)

This Task Order is made this 7th of January 2025, by and between the **OWNER, CHILDREN'S HOSPITAL OF PHILADELPHIA**, 3401 Civic Center Boulevard., Philadelphia, PA 19104, and **CONTRACTOR**, IMC Construction, 3 Great Valley Pkwy #200, Malvern, PA 19355.

PROJECT: Drexel Hill Primary Care, 4990 State Road, Drexel Hill, PA 19026.

ARCHITECT/ENGINEER: Meyer Architects, INC., 227 East Lancaster Avenue, Ardmore, PA 19026.

1. **THE CONTRACT DOCUMENTS**. The Contract Documents consist of this Task Order, the Master Terms and Conditions of the Contract for Construction dated March 29, 2021, executed by Owner and Contractor (the "Master Terms and Conditions"), and all other documents identified as Contract Documents in this Task Order or in the Master Terms and Conditions. The Contractor acknowledges that it is bound by the Master Terms and Conditions as if they had been executed on the date hereof and set forth in full herein. All terms not defined in this Task Order shall have the respective meanings given to such terms in the other Contract Documents. The Contract Documents and this Task Order shall not be binding upon the Owner for a project for which the original Guaranteed Maximum Price (as said term is hereinafter defined) exceeds Five Million Dollars ($5,000,000.00).

2. **THE PROJECT.** The scope of the Project and the Work shall be determined by reference to the Drawings and Specifications as listed on **Exhibit A** hereto, as the same may be from time to time further developed or modified. If any final Drawings and Specifications which are completed by Architect after the date designated on **Exhibit A** expand or contract the scope of the Work beyond that contemplated by or reasonably inferable from the Drawings and Specifications listed on **Exhibit A**, then either Contractor or Owner, as the case may be, shall be entitled to an appropriate Change Order. Decisions of the Architect, whenever given, as to the intent of the Work included in the Drawings and Specifications shall be final and binding upon the Owner and Contractor.

3. **THE WORK.** The Contractor shall fully execute the Work described in the Contract Documents, except to the extent specifically indicated in the Contract Documents to be the responsibility of others, for the construction of the Project. It is the intent of the parties that the Work to be performed by Contractor shall produce a complete, fully functional Project which Owner may immediately use for its intended purposes, except to the extent specifically indicated otherwise in the Contract Documents. The Work includes all work reasonably inferable from the Contract Documents as necessary to provide the results indicated thereby. In the event of a conflict in or ambiguity of the Contract Documents, the more stringent requirement or interpretation shall control.

4. **CONTRACT SUM; GUARANTEED MAXIMUM PRICE**. As full compensation for the proper performance by Contractor of the Work, Owner shall pay Contractor the Contract Sum. The Contract Sum is the lesser of (i) the Cost of the Work as defined in **Exhibit I** hereto, plus the Contractor's Fee (as hereinafter defined); or (ii) the Guaranteed Maximum Price. The Contractor's Fee shall be an amount equal to _3_ percent (three_%) of the Cost of the Work, subject to the Guaranteed Maximum Price limitation hereinafter set forth. Contractor's Approved Staffing Plan attached as **Exhibit J** hereto identifies all of Contractor's salaried and hourly personnel by name and by function, sets forth the hourly rate to be charged for each such individual, and identifies the period during which such individual is expected to perform Work on the Project. Without Owner's prior written approval, which approval Owner may grant or withhold in its discretion, Contractor may not increase its staffing for the Project beyond that set forth on **Exhibit J** and the hourly rates to be charged pursuant to **Exhibit J** hereto shall not exceed the average wage or salary rate paid by Contractor to its employees performing the identified functions (including the costs included in said rates as aforesaid). The "Guaranteed Maximum Price" means the maximum cost to Owner for the Project, including the Cost of the Work and Contractor's Fee, which Owner and Contractor hereby agree shall be Two Million, Eight Hundred Twenty Two Thousand, Three Hundred Thirty Five_ Dollars ($2,822,335). In no event shall the

Contract Sum be more than the Guaranteed Maximum Price. In the event that the Contract Sum is more than the Guaranteed Maximum Price, the amount of the difference shall be paid by Contractor without reimbursement by Owner. In the event that the Contract Sum is less than the Guaranteed Maximum Price, the entire amount of the difference shall insure to the benefit of Owner. Adjustments to the Contract Sum on account of changes in the Work shall be determined in accordance with Article 7 of the Master Terms and Conditions.

5. **ALLOWANCES; ALTERNATES.** All allowances included in the Guaranteed Maximum Price are set forth on **Exhibit B** hereto. All alternates and the amount for each are also set forth on **Exhibit B**. **Exhibit B** hereto also designates those alternates which have been accepted by Owner (all of which accepted alternates are included in the Guaranteed Maximum Price unless otherwise specified on Exhibit B) and all alternates which Owner may hereafter accept (and the addition or subtraction from the Guaranteed Maximum Price for each of such alternates which Owner hereinafter accepts).

6. **TIME**. The Contractor shall commence the Work in accordance with the Detailed Project Schedule attached as **Exhibit C** hereto. The Contractor shall diligently prosecute the Work and achieve all milestones, Substantial Completion of the Project as a whole and Final Completion of the Project as a whole, all by no later than the respective dates for same established by the Detailed Project Schedule, subject to adjustments of such dates as expressly provided in the Contract Documents. All time limits for the performance of the Work established by the Contract Documents are of the essence.

7. **INSURANCE**. Contractor shall maintain and shall cause all Subcontractors and Sub-subcontractors to maintain, throughout the course of the Project (and thereafter to the extent required by the Contract Documents), insurance satisfying the requirements of **Exhibit D** attached hereto and the provisions of Article 11 of the Master Terms and Conditions. Attached hereto as **Exhibit E** is a Schedule of Certain "Indemnitees" for purposes of the Master Terms and Conditions.

8. **SCHEDULE OF VALUES**. Attached hereto as **Exhibit F** is the Schedule of Values which has been approved by Owner, Architect and Contractor.

9. **COMPENSATION FOR CONSTRUCTION CHANGE DIRECTIVES**. Attached hereto as **Exhibit G** are provisions establishing the compensation payable to Contractor pursuant to Section 7.3.3.3 of the Master Terms and Conditions for Construction Change Directives.

10. **SUBCONTRACTOR DEFAULT INSURANCE**. **[STRIKE THIS SECTION 10 IF SUBCONTRACTOR DEFAULT INSURANCE WILL NOT BE REQUIRED]** Contractor shall obtain and comply with all of the requirements relating to a policy of Subcontractor Default Insurance set forth on **Exhibit "H"** attached hereto. The charge for all subcontractor default insurance maintained by Contractor pursuant to the Contract Documents shall be One and Two percent (1.2%) of all payments made by Contractor for Costs of the Work to Subcontractors covered by the subcontractor default insurance.

10. ~~**BONDS. [STRIKE THIS SECTION 10 IF SUBCONTRACTOR DEFAULT INSURANCE WILL BE PROVIDED]** If Contractor is not required to maintain Subcontractor Default Insurance, or for any Subcontractor not covered by Contractor's Subcontractor Default Insurance policy, Contractor shall require that each of its Subcontractors with Subcontracts in excess of $200,000, prior to commencing its respective portion of the Work, obtain a performance bond and a payment bond, in form and substance satisfactory to Owner, in the full amount of the Subcontractor's contract price, from a surety company authorized to do business in the state in which the Project is located holding a valid certificate of authority issued by the Secretary of the U.S. Treasury as an acceptable surety on federal bonds and which is otherwise satisfactory to Owner. All performance bonds and payment bonds shall name Contractor as obligee and shall name Owner as additional obligee. All such payment bonds and performance bonds shall be delivered by Contractor to Owner for Owner's approval before each Subcontractor commences its respective portion of the Work. The~~

~~Cost of the Work shall not include any bonds obtained for Subcontractors covered by Contractor's Subcontractor Default Insurance policy.~~

11. **MECHANICS' LIENS AND COMPLIANCE WITH THE REQUIREMENTS OF THE PENNSYLVANIA STATE CONSTRUCTION NOTICES DIRECTORY.** See Sections 15.4 and 15.5 of the Master Terms and Conditions of the Contract for Construction.

~~12. **BIM REQUIREMENTS.** Contractor shall comply with all of the requirements applicable to Contractor, or assigned to Contractor by Owner, as provided in the Building Information Modeling Requirements ("BIM Requirements") attached hereto as Exhibit L. Owner and Contractor acknowledge and agree that neither the Building Information Model nor any Model Element (as said terms are defined in the BIM Requirements) is a Contract Document and does not alter or supersede in any respect the Drawings and Specifications or any other design document prepared by Architect and its consultants. Without limitation of the foregoing, Contractor shall throughout the performance of the Work maintain accurate and current electronic "as built" records of all material changes in the Work made by Contractor or its Subcontractors in the field from what is shown on the Construction Documents, as the same may be modified during the course of the Work in accordance with the terms of the Contract Documents, and 3D shop drawings, construction coordination models and all other documentation required by **Exhibit L** hereto so that Architect may employ such records to prepare record drawings in BIM format. As a condition precedent to Owner's obligation to make payment with respect to any Application for Payment, Contractor shall demonstrate to Owner and Architect that Contractor's records as aforesaid are accurate and correct, and upon request from time to time by Owner or Architect, shall deliver to Architect complete copies of such records, active files of which shall be maintained at the Project site. Nothing contained herein shall authorize any changes in the Work except as authorized by a duly executed Change Order.~~

13. **KEY PERSONNEL.** Throughout the course of the Project, those employees of Contractor designated on **Exhibit K** attached hereto (hereinafter the "Key Personnel") shall be assigned to work on the Project in the respective positions noted on **Exhibit K**. Said Key Personnel shall at all times devote sufficient time to the Project to fulfill all of their responsibilities in such positions, and if so, designated on **Exhibit K**, during the Construction Phase of the Project shall spend full-time working on the Project. Contractor shall not replace any of the Key Personnel without the prior written approval of Owner. If any of the Key Personnel becomes unavailable due to disability or voluntary termination of employment with Contractor, Contractor shall promptly appoint a replacement satisfactory to Owner. Upon the request of Owner at any time, Contractor shall remove from the Project any member of Contractor's staff who, in Owner's opinion, is incompetent, uncooperative or otherwise objectionable.

14. **OWNER'S PROJECT REPRESENTATIVE.** Richard Toy

15. **CONTRACTOR'S REPRESENTATIVE.** Larry Warner

16. **ARCHITECT'S PROJECT REPRESENTATIVE.** Shannon Remaley

Exhibits to Construction Task Order (GMP)

Exhibit A: Drawings and Specifications

Exhibit B: Allowance and Alternates *(***Not Applicable***)*

Exhibit C: Detailed Project Schedule

Exhibit D: Insurance Provisions

Exhibit E: Schedule of Certain Indemnitees

Exhibit F: Schedule of Values

Exhibit G: Compensation for Construction Change Directives

Exhibit H: Subcontractor Default Insurance

Exhibit I: Cost of the Work

Exhibit J: Contractor's Approved Staffing Plan

Exhibit K: Key Personnel

Exhibit L: BIM Requirements **Not Applicable**

Exhibit M: Notice/Signed Agreement for Mandatory Compliance with CHOP Safety Requirements & Contractor's Manual

LIST OTHER EXHIBITS

Exhibit W - Notice of Commencement **Not Applicable**

Exhibit X - CHOP Credential Requirements (See Sec. 15.5 of the General Conditions and the Supplemental Conditions).

EXHIBIT A
DRAWINGS AND SPECIFICATIONS

Identify in detail all Drawings and Specifications. Include the date of the drawings and specs. Delete this statement in the final document.

Scope of Work

Division 3 - Concrete

Cast-in-place Concrete: Sawcut, trenching and backfill for underground piping and recessed walk off mat are excluded.

Division 5 - Metals

Misc. Metals: Misc Metal supports for rooftop equipment are excluded.

Division 6 – Woods and Plastics

Millwork: Furnish and Install Solid Surface countertop and front edge, with PLAM front face and drywall back face at Registration Desk and Clinical Work Desk. Registration desk includes curved edges.

Casework: Furnish and install PLAM casework at Clerical Storage, Lactation Rooms, Touchdown workspaces, Assessment Rooms, Exam and Exam Consult Rooms, Clinical Workspace, Med/Lab Room, and Staff Lounge. Includes PLAM base cabinets, PLAM countertops with 4” backsplashes, PLAM upper cabinets, PLAM vertical fascial, and PLAM cabinets with shelving as indicated. Rounded PLAM tables with single leg post at Exam and Exam Consult Rooms are not included. Solid Surface windowsills are included as shown.

Division 7 – Thermal and Moisture Protection

Roofing: Roof patching for new rooftop Exhaust Fans and RTU is excluded.

Division 8 - Openings

Doors, Frames, and Hardware: Furnish solid core PLAM doors, HM frames, and hardware per the Door Schedule. Includes furnish only of hardware for (3) doors installed by others within core and shell, including auto-operator at the Main Entrance Door, hardware at the Staff Entry and Waiting Area Door. Includes furnish 2” aluminum frames for interior windows at Manager’s Office.

Glazing: Includes furnish of glass lites for five (5) type B doors and four (4) type D doors. Includes two (2) interiors windows at the Manager’s Office 106. Glass included as tempered, clear glass. Includes caulking of both sides of all glass lites.

Division 9 - Finishes

Metal Stud / Drywall Assemblies: Furnish and install interior metal stud with drywall, including knee walls where indicated. Column wraps at curtain wall are included as designed with beam clips, drywall, and white aluminum on backside. Furnish and installation of Mullion Mate aluminum ‘U’ at GWB connections to window mullions. Includes Drywall ceilings and soffits as indicated. Includes furnish and installation of USG Mars ClimaPlus 2x2 tegular ACT Ceilings. Drywall is included as level 5 finish behind Reception Desk, and level 4 finish at all other newly installed areas. Furnish and install of wall protection including InPro rub rail, rigid vinyl sheet,

and corner guards. Includes receiving and installing doors, frames, hardware, fire extinguishers, and OFCI items indicated on Equipment Schedule. Includes fire treated lumber at HM Frames.
***Flooring**:* Furnish and install Carpet Tile by Interface or similar. Furnish and install Luxury Vinyl Tile in different colors/styles by Interface in accordance with the Finish Schedule. Furnish and install Resilient Flooring by Patcraft at the Toilet Rooms. Furnish and install VCT-1 by Armstrong at Back of House areas as indicated. Furnish and install VCT-2 Static Dissipative flooring by Armstrong at Electric and IT rooms. Includes B-1 4"H Roppe Vinyl Wall Base throughout entire project. Furnish and install transition strips where flooring types change. Includes minor floor prep.

Painting and Coatings: Scope includes painting of exposed new drywall partitions, ceilings, and soffits. Accent paint on indicated walls is included. Painting of the hollow metal doors frames is included; painting of the solid core wood doors is excluded as these are prefinished. Includes caulking of the door frames.

Division 10 – Specialties

***Fire Extinguishers**:* Furnish six (6) fire extinguishers and cabinets as indicated. Installation is included with Drywall.

***Toilet Accessories**:* Furnish and install of Toilet Paper Holders, Grab Bars, Robe Hooks, Mirrors and Pass-Through Windows as indicated, accessories are included as Bobrick or similar. Toilet Paper Holder is included as Scott or similar. Grab Bars are included as Lavex or similar.

Lockers: Furnish and install nine (9) six tier staff lockers by Ideal Lockers or similar as specified. Lockers to be prepped to receive Keyless 360 supplied by Owner. Keyless 360 Pushbutton Combination Locks were excluded by proprietary vendor and are therefore excluded from our pricing.

Signage: Furnish and install of interior signage in accordance with Signage drawings and specifications set. Includes one (1) vinyl sign for vestibule/waiting room glass entrance, one (1) vinyl graphic for Conference room #102 and two (2) vinyl graphics for waiting room door windows. Furnish and install three (3) 8'-1"w x 1'-5"h exterior Pylon signs onto Pylon structure by Owner. Includes one (1) exterior building mounted, internally illuminated sign onto substructure by Owner.

Division 12 – Furnishings

***Window Treatments**:* Furnish and install WT-1 Blackout Manual Roller Shade by Mecho Shade or similar at Exam Rooms, Conference Rooms, and Manager Office windows. Furnish and install WT-2 Manual Roller Shades by Mecho Shade or similar with 1% openness at all other windows. Includes side channels at blackout shades only.

Division 21 - Fire Protection

Fire Protection Systems: Work in accordance with NFPA 13 to accommodate light hazard occupancy. Includes modifications to existing turned up sprinkler heads to accommodate new

ceiling. Sprinkler piping is carbon steel ERW (sch. 10) piping with Victaulic valves/fittings (where applicable).

Miscellaneous: Includes hydraulic calculations and signed and sealed sprinkler shop drawings for submission to local AHJ for permits. Testing and inspections are included. (1) year warranty is included as are O&M Manuals, as-built documents, certifications, and other close-out materials. Seismic bracing and/or restraints are excluded.

Division 22 - Plumbing

Plumbing Equipment / Fixtures: Furnish and install the following plumbing equipment/fixtures:

Electric Water Heater
Water Closets – Kohler or similar (water closets are tank type and cannot accept flushometer as specified)
Lavatories at Toilet Rooms – Kohler or similar
Exam Room Sinks – Elkay or similar
Mop Sink – Fiat or similar
Break Room/Staff Lounge Sinks – Elkay or similar
Bottle Filler – Elkay or similar
Eyewash – Guardian or similar
Floor Drain – JR Smith or similar

Domestic Water: Includes domestic hot and cold-water piping to service CHOP fitout plumbing fixtures. Domestic hot water to be generated via electric water heaters. Domestic water piping is L-copper with ProPress valves/fittings. Includes fiberglass insulation (factory applied jacketing); no secondary insulation jacketing is included.

Natural Gas: Includes natural gas piping for the emergency generator from a future valve in the core and shell project. Natural gas piping to be carbon steel with threaded valves/fittings.

Sanitary Waste and Vent: Includes sanitary waste and vent to service CHOP fitout plumbing fixtures/drains; below grade sanitary waste is excluded. Sanitary waste and vent piping is to be epoxy coated cast iron (New Age or equal).

Miscellaneous: Includes fire stopping (STI) for own work, testing and inspections. One (1)-year parts warranty is included as are O&M Manuals, as-built documents, certifications, and other close-out materials. Seismic bracing and/or restraints are excluded.

Division 23 - HVAC

Mechanical / HVAC Equipment: Furnish and install mechanical/HVAC equipment per the equipment schedules including Fan Powered Boxes (with electric heat), Terminal Supply/Return Air Boxes (with electric heat), DX Split System, Exhaust Fans, Heated Air Curtain (with electric heat), Unit Heater (with electric heat), and Grilles, registers and diffusers.

Airside / Ductwork Systems: Includes airside/ductwork systems include horizontal distribution for supply, return and exhaust air for CHOP fitout. Ductwork is to be single-wall galvanized metal with fiberglass ductwrap for interior work.

Refrigeration: Includes refrigeration piping for A/C split systems. Refrigeration piping to be ACR-copper with brazed or soldered valves/fittings. Insulation is to be Armaflex.

Condensate Drain: Includes condensate drain piping from A/C split system equipment. Condensate drain piping is L-copper with ProPress valves/fittings. Insulation is to be fiberglass (factory applied jacketing).

Automated Temperature Controls / BAS: Includes extension of existing CHOP DDC Controls by Johnson Controls (corporate office) for ATC/BAS work. Provide monitoring of water heater leak detection. Contractor to utilize plenum rated cable for all wiring.

Miscellaneous: Includes fire stopping (STI) for own work, pipe and ductwork insulation, air balancing of new work, commissioning assistance, equipment start-up and Owner training, ductwork leak testing (per SMACNA). One (1)-year parts warranty is included as are O&M Manuals, as-built documents, certifications, and other close-out materials. Ductwork cleaning is excluded. Seismic bracing and/or restraints are excluded.

Division 26 - Electric

Electrical Equipment: Furnish and install the following electrical equipment: Emergency gas generator-22kW/27kVA (Kohler, CAT, Cummins or equal), ATS-100A, T-C1LA-45kVA, C1LA-150A, C1LB-150A, C1HA-175A, EC1L-100A, disconnects, outlets and receptacles, fire alarm system, lighting and lighting controls system, security devices, cameras, and panels.

Temporary Power/Lighting: Includes new temporary receptacles (120v-GFI) throughout the project areas. Includes new temporary interior lighting to meet minimum OSHA requirements for the project areas.

Miscellaneous: Includes fire stopping (STI) for own work, testing and inspections, equipment start-up, and Owner training. One (1)-year parts warranty is included as are O&M Manuals, as-built documents, certifications, and other close-out materials. Updated coordination study and/or ARC flash studies is included for new equipment only. Seismic bracing and/or restraints are excluded.

EXHIBIT E
SCHEDULE OF CERTAIN INDEMNITEES

Children's Hospital of Philadelphia and its affiliates

Meyer Architects, Inc.

227 East Lancaster Ave,

Ardmore, PA 19003

Precis

930 Harvest Drive, Suite 470

Blue Bell, PA 19422

EXHIBIT G
COMPENSATION FOR CONSTRUCTION CHANGE DIRECTIVES

For extra work performed by the Contractor, the charges to the Owner shall be the Contractor's cost, plus a fee (payable to the Contractor) in an amount equal to 10% of such cost.

For extra work performed by a Subcontractor, the charges to Owner shall be the Subcontractor's cost, plus a fee (payable to the Subcontractor) in an amount equal to _10_% of such cost, plus a fee (payable to the Contractor) in an amount equal to 10_% of the sum of the Subcontractor's cost and the Subcontractor's fee, unless the change is essentially administrative or if insubstantial Work by Contractor's personnel is involved, in which event there shall be no fee payable to Contractor.

For extra work performed by a Sub-subcontractor, the charges to Owner shall be the Sub-subcontractor's cost, plus a fee (payable to the Sub-subcontractor) in an amount equal to 10% of such cost, plus a fee (payable to the Subcontractor) in an amount equal to 5_% of the sum of the Sub-subcontractor's cost and the Sub-subcontractor's fee, plus a fee (payable to the Contractor) in an amount equal to 10_% of the sum of the Sub-subcontractor's cost and the Sub-subcontractor's fee, unless the change is essentially administrative or if insubstantial work by Contractor's personnel is involved, in which event there shall be no fee to Contractor.

As used in this Exhibit, the term "cost" shall mean those incremental costs and expenses which are specifically and exclusively attributable to the extra work and which are expressly included in the "Cost of the Work," as such term is defined in the Task Order. Without limitation of the foregoing, as used in this Exhibit, the term "cost" shall not include any costs or expenses attributable to or otherwise relating to supervision, overhead or profit (except to the extent that supervision is required in connection with such extra work and is actually performed); and the Owner and Contractor (for itself and all Subcontractors and Sub-subcontractors) agree that all such costs and expenses are included in full in the fixed-percentage fees set forth above in this Exhibit.

EXHIBIT H
SUBCONTRACTOR DEFAULT INSURANCE

1. Contractor represents that it shall continuously maintain until final acceptance of the entire Project by Owner a policy of Subcontractor Default Insurance with an insurance company approved by Owner, which policy shall be in form and substance satisfactory to Owner and shall satisfy all of the other requirement set forth in this Exhibit.
2. Said policy of Subcontractor Default Insurance shall satisfy the following requirements:
   a. the policy shall provide for a single loss limit of at least $15,000,000;
   b. the policy shall provide aggregate limits for any one occurrence of at least $30,000,000;
   c. the policy shall not provide for any deductible, self-insurance, co-pay or retention.
   d. the policy shall provide full coverage to all Subcontractors (including suppliers) with direct contracts with Contractor ("Primary Subcontractors") engaged at any time in the Work, except for Primary Subcontractors with subcontracts for less than $ 0.00 of work, and other Primary Subcontractors approved in writing by Owner in Owner's sole discretion;
   e. the policy shall include a Financial Interest Endorsement for the benefit of Owner in form and substance satisfactory to Owner.
3. Contractor hereby agrees that it shall:
   a. take all steps necessary to assure that all Subcontractors (including suppliers) are fully covered by the policy of Subcontractor Default Insurance prior to their commencement of work on the Project, and not permit any such Subcontractor to commence work on the Project until it is so covered;
   b. timely give all notices and provide all information which is required under the policy of Subcontractor Default Insurance with respect to claims or otherwise, and fully comply with all of the terms and conditions of the policy of Subcontractor Default Insurance;
   c. promptly pay when due all premiums and other charges required to be paid pursuant to the policy of Subcontractor Default Insurance;
   d. indemnify, save harmless and defend Owner from and against all claims, suits, liability, costs and expenses, including attorneys' fees, arising out of or in connection with any breach by Contractor of any of its obligations under this Exhibit K;
   e. without limitation of any of Owner's remedies or Contractor's obligations under this Exhibit or any other provisions of the Contract Documents, in the event that the policy of Subcontractor Default Insurance is canceled or terminated prior to Final Completion of the Work, or if, based upon claims made or likely to be made by Contractor under the policy of Subcontractor Default Insurance maintained by Contractor with respect to the Project, whether said claims arise from the Project or other projects, it appears that the aggregate amount of coverage under the policy of Subcontractor Default Insurance available for the Project has been or will likely be reduced below $30,000,000 in the aggregate, then, at Owner's option, Contractor shall immediately obtain at Contractor's sole and expense, and not as a part of the Cost of the Work, completion bonds and labor and material payment bonds for all Subcontractors whose work has not then been fully completed as of the date of such cancellation, termination or reduction in coverage.
   f. upon the request by Owner from time to time, furnish to Owner such information as Owner shall reasonably request to establish that the aggregate amount of coverage under the policy of Subcontractor Default Insurance available for the Project has not been and will not likely be reduced below $30,000,000 in the aggregate.
4. Contractor has included the full cost of the policy of Subcontractor Default Insurance in the Contract Sum.

EXHIBIT I
COST OF THE WORK

1. The term "Cost of the Work" shall mean costs necessarily incurred by the Contractor, directly or in connection with Subcontracts, in good faith and in the proper performance of the Work. Such costs shall be at rates not higher than the standard paid at the location of the Project except with prior consent of the Owner. All costs in the costs of the Work shall be reasonable and customary. The Cost of the Work shall include only the following items:

(a) Wages of construction workers directly employed by the Contractor to perform the construction of the Work and clean-up at the Project site or, with the Owner's approval, at off-site workshops.

(b) Wages or salaries of the Contractor's supervisory and administrative personnel performing the functions identified on **Exhibit J** to the Task Order at the rates specified on **Exhibit J** to the Task Order when performing Work on the Project (excluding vacations and paid time off).

(c) Costs paid or incurred by the Contractor for taxes, insurance, contributions, assessments and benefits required by law or collective bargaining agreements and, for personnel not covered by such agreements, customary benefits such as sick leave, medical and health benefits, parking and local travel allowances, holidays, vacations and pensions, provided such costs are based on wages and salaries included in the Cost of the Work under Sections 1(a) or 1(b) hereof. Contractor shall not be entitled to include as a cost of the Work any cost which is included in the hourly rates for Contractor's personnel specified on **Exhibit J** to the Task Order.

(d) Payments made or owed by the Contractor to Subcontractors in accordance with the requirements of the subcontracts properly entered into in accordance with the terms of the Contract Documents.

(e) Costs, including transportation and storage (if approved by the Owner pursuant to the Contract Documents) of materials and equipment incorporated or delivered and properly stored on-site to be incorporated in the completed construction.

(f) Costs of materials described in the preceding Section 1(e) in excess of those actually installed but required to provide reasonable allowance for waste and spoilage. Unused excess materials, if any, shall be properly stored during the performance of the Work and shall be delivered to the Owner and shall become the Owner's property at the completion of the Work or, at the Owner's option, shall be sold by the Contractor in a commercially reasonable manner. Any amounts realized from such sales shall be credited to the Owner as a deduction from the Cost of the Work.

(g) Costs, including transportation and storage (if approved by the Owner pursuant to the Contract Documents), installation, maintenance, dismantling and removal of materials, supplies, temporary facilities, machinery, equipment, and hand tools not customarily owned by construction workers, that are provided by the Contractor at the Project site and fully consumed in the performance of the Work; and cost (less salvage value) of such items if not fully consumed, whether sold to others or retained by the Contractor. Cost for items previously used by the Contractor shall mean fair market value.

(h) Rental charges for temporary facilities, machinery, equipment, and hand tools not customarily owned by construction workers that are provided by the Contractor at the Project site, whether rented from the Contractor or others, and costs of transportation, installation, minor repairs and replacements, dismantling and removal thereof. Rates and quantities of equipment rented shall be subject to the Owner's prior written approval. Rental charges for machinery and equipment furnished by Contractor from its own stock shall not exceed the fair rental value for same in the region where the Project is located, and in no event shall the total rental of any piece of such machinery or equipment exceed its fair market value at the

time it is first utilized on the Project. After the Contractor has received through such rental charges an amount equal to the fair market value as aforesaid of any specific item of machinery or equipment, the Contractor shall not thereafter remove such machinery or equipment from the Project site without the Owner's prior written approval.

(i) Costs of removal of debris from the site.

(j) Costs in connection with the performance of the Work of document reproductions and postage and parcel delivery charges.

(k) That portion of the reasonable expenses of the Contractor's personnel incurred while traveling in discharge of duties connected with the Work (but not commuting to and from the Project), provided that such expenses are consistent with Owner's travel policy, a copy of which is attached as Schedule 1 hereto, and further provided that the Owner gives prior approval.

(l) That portion of insurance (including subcontractor default insurance) and bond premiums for insurance and bonds specifically required by the Contract Documents.

(m) Subject to the provisions of Section 3.6 of the Master Terms and Conditions, sales and use taxes imposed by a governmental authority that are related to the Work and for which the Contractor is liable in accordance with applicable law in effect during this Agreement.

(n) If the Project is located in Philadelphia, the gross receipts portion (but not any net income portion) of any Philadelphia Business Income and Receipts Taxes payable by Contractor with respect to its receipts pursuant to the Contract Documents.

(o) Fees and assessments for the permits, licenses and inspections for which the Contractor is required by the Contract Documents to pay.

(p) Fees of testing laboratories for tests required by the Contract Documents, except those related to defective or nonconforming Work for which reimbursement is excluded by provisions of the Contract Documents.

(q) Deposits lost for causes other than the Contractor's negligence or failure of the Contractor (or others working on the Contractor's behalf) to fulfill a specific responsibility to the Owner as set forth in the Contract Documents.

(r) Other costs incurred in the performance of the Work if and to the extent approved in advance in writing by the Owner.

(s) Costs due to emergencies incurred in taking action to prevent threatened damage, injury or loss in case of an emergency affecting the safety of persons and property, as provided in Paragraph 10.5 of the Master Terms and Conditions to the extent not caused, or capable of prevention through the proper performance of the Work, by the Contractor, a Subcontractor or anyone for whom either is responsible.

(t) Costs of complying with the BIM Requirements.

2. (a) Costs as defined herein shall not exceed the actual costs paid (or with respect to Subcontractors, incurred) by the Contractor or Owner, less all insurance proceeds received by the Contractor and, further, less all discounts, rebates and salvages which shall be taken by the Contractor subject to Section 5 hereof. All payments made by the Owner pursuant to the Task Order, whether those payments are actually made before or after the effective date of the Task Order, shall be credited against the Guaranteed Maximum Price; provided, however, that in no event shall the Owner be required to reimburse the Contractor for any

portion of the Cost of the Work (whether incurred prior to, on or after the date of commencement) unless Contractor has received the Owner's specific written consent prior to incurring such costs, either by virtue of Owner's signature on any Contract Document or, in the case of any item not included in any Contract Document, by virtue of Owner's separate prior written approval.

(b) Contractor hereby agrees and acknowledges that there shall be no duplication of payments for any of the items comprising the Cost of the Work, notwithstanding any itemization or provision contained in the Contract Documents to the contrary including, without limitation, this **Exhibit I**.

3. Notwithstanding the provisions of Sections 1 and 2 hereof, Contractor shall immediately submit to Owner a detailed breakdown of all Costs of the Work that are covered under the General Conditions category of the Guaranteed Maximum Price, and Owner shall have the right to approve such detailed breakdown as well as the right to approve in advance any expenditure in excess of $5,000 to be charged to General Conditions (other than expenditures for items specifically identified in the detailed breakdown approved by Owner). Without Owner's prior written approval, which approval Owner may grant or withhold in its sole and absolute discretion, Contractor may not increase its staffing for the Project beyond that set forth on **Exhibit J** to the Task Order.

4. Notwithstanding anything hereinabove to the contrary, the Cost of the Work shall not include:

(a) Salaries and other compensation of the Contractor's personnel, except as expressly provided in this **Exhibit I**.

(b) Expenses of the Contractor's principal office and offices other than the Project site office.

(c) Overhead and general expenses, except as may be expressly provided in this **Exhibit I**.

(d) The Contractor's capital expenses, including interest on the Contractor's capital employed for the Work.

(e) Rental costs of machinery and equipment, except as specifically provided in Section 1(h) hereof.

(f) Costs due to the fault or negligence or failure to comply with the requirements of the Contract Documents by the Contractor, Subcontractors, Sub-subcontractors or anyone directly or indirectly employed by any of them or for whose acts any of them may be liable, including, but not limited to, costs for the correction of damaged, defective or nonconforming Work, disposal and replacement of materials and equipment incorrectly ordered or supplied, and making good damage to property not forming part of the Work.

(g) Any cost not specifically and expressly described in this **Exhibit I**.

(h) Costs, other than costs included in Change Orders approved by the Owner, that would cause the Guaranteed Maximum Price to be exceeded.

(i) Federal, state or local income or capital stock tax.

(j) Legal, mediation and arbitration costs, including attorneys' fees.

(k) Any amount to any entity affiliated with Contractor, unless: (i) any proposed payment is specifically disclosed in writing by Contractor to Owner prior to Contractor's incurring the obligation to make such payment; and (ii) Owner determines that it is in Owner's best interest for materials or services to be provided by such entity affiliated with Contractor.

5. Cash discounts obtained on payments made by the Contractor shall accrue to the Owner, trade discounts, rebates, refunds and amounts received from sales of surplus materials and equipment shall accrue to the Owner, and the Contractor shall make provisions so that they can be secured. Insurance proceeds received by the Contractor also shall accrue to the Owner. Amounts that accrue to the Owner in accordance with the provisions of Section 5 shall be credited to the Owner as a deduction from the Cost of the Work.

EXHIBIT I
COST OF THE WORK
Schedule 1
Consultant and Contractor Travel Reimbursement

POLICY
It is the policy of Children's Hospital of Philadelphia together with its affiliates (the "Hospital") to pay for reasonable business expenses associated with approved travel by consultants and contractors on business for the Hospital.

PURPOSE
To identify guidelines for Hospital payment of reasonable travel expenses for business purposes.

SCOPE
This policy applies to all Hospital consultants and contractors.

A. Frequent Flyer Memberships

1. Travelers are permitted to join frequent flyer programs, and the benefits earned may be used by the traveler for personal travel.
2. Selection of an air carrier and/or flight times should never be decided based on frequent flyer mileage or other travel awards unless the rate is consistent with the lowest fare.
3. Under no circumstances may the frequent flyer carrier be reserved when a less expensive and equally practical alternative is available.

B. Transportation

1. First class or business class plane or train accommodations are not reimbursable. Whenever possible, tickets shall be purchased 21 calendar days or more in advance to secure the lowest fare.
2. The most economical reasonable method of transportation shall be used. Public transportation or airport transportation must be used when reasonable, available and more economical rather than cabs. Cabs shall be used when more economical than when rental car charges and parking fees are considered.
3. Personal auto may be used if less costly than the airport limousine or public transportation charges. Personal auto expenses are reimbursed at the current published IRS rate.
4. If the individual must park his or her car at the airport before travel, the least expensive long-term parking at the airport must be used if the trip extends over 24 hours.
5. Tolls and parking fees are reimbursable. Parking fines will not be reimbursed.

C. Lodging

1. Lodging expenses must be reasonable. The published GSA lodging rate for the travel location shall be used as a guide for reasonableness of the cost. Suites and other luxury accommodations are not reimbursable.
2. Hotel incidental expenses, such as room amenities (movies, beverages, etc.) are the responsibility of the traveler and are not reimbursable.
3. A stay for extra days for personal reasons is not reimbursable. If, however, the costs of the additional stay more than offsets the transportation costs and is fully documented, it may be permitted if approved in advance.

D. Meals, Incidentals and Other Reimbursed Expenses

1. The meals and incidental rate are based upon the United States General Services Administration Policy for travel management under per diem by location. Per diem rates are listed on the internet, at www.gsa.gov.

2. The food per diem only applies to overnight trips. Food per diem on first and last day of trip is 75% of meal total (also listed at www.gsa.gov)
3. Meal reimbursement day trips will apply based on departure and return times. When the departure time is earlier than 7:00 AM the GSA rate breakfast allowance will apply. When the traveler return time is after 7:00 PM the GSA rate dinner allowance will apply. Breakdown of meal allowance is listed on per diem rates on the internet, at www.gsa.gov.
4. Incidentals are defined as fees and tips given to porters, baggage carriers, bellhops, hotel maids, stewards or stewardesses. It also includes transportation between places of lodging or business places where meals are taken, if suitable meals cannot be obtained at the travel site.
5. If breakfast, lunch, or dinner is provided at no cost to the traveler at the location of travel, an appropriate reduction shall be made to the food allowance for that day.

E. Miscellaneous

1. Travel expenses for family members are not reimbursable.
2. Travel agency fees are not reimbursable.

F. Travel Expense Reimbursement

1. Upon return from business travel, the consultant/contractor must include in his/her billing a Travel Expense Reimbursement form conforming to CHOP guidelines.
2. The consultant/contractor must attach receipts to the billing supporting all travel expenses including without limitation itemized hotel bill(s), airline ticket(s) and air/ground travel itinerary. The contractor need not submit receipts for meals and incidentals that are included in the per diem allowances.

EXHIBIT L

BUILDING INFORMATION MODELING ("BIM") REQUIREMENTS

If BIM Requirements are "Not Applicable," please leave the notation below this line and strike out the remainder of Exhibit L.

BIM Requirements Not Applicable

~~*The information herein applies to Children's Hospital of Philadelphia (CHOP) for the following projects:*~~

- ~~*Required for any project that has a BIM requirement in the A/E RFP*~~
- ~~*Required for any project that has a BIM requirement in the Construction RFP*~~

~~*Note: The information herein will require adjustments if the project is structured under "Design-Build" Contract terms*~~.

~~***Note to PM:*** Print out and attach the most current version of the BIM Exhibit located here~~:

~~https://app.e-builder.net/da2/daLanding.aspx?QS=7fac9a6000df44fa989d5219e94112b4~~

EXHIBIT M

NOTICE/SIGNED AGREEMENT FOR MANDATORY COMPLIANCE WITH CHOP SAFETY REQUIREMENTS & CONTRACTOR'S MANUAL

The Construction Manager/Contractor ("Contractor") hereby acknowledges that it is has received, or been granted access to, and has reviewed Children's Hospital of Philadelphia ("CHOP") policies for contractors set forth in the CHOP Contractor's Manual, and that Contractor shall, and shall ensure that its employees, representatives, agents and subcontractors ("Contractor Representatives"), comply with these policies, and also with any other safety instructions or guidelines provided by CHOP. These policies include, but are not limited to, Hot Work Permit Procedure, Utility Outage Notification Request, Infection Control Risk Assessment (ICRA), and the Contractor Safety Guidelines.

The Contractor Manual referenced above can be found on eBuilder at: CHOP Contractor Manual

In addition to the policies referenced above, Contractor agrees that it will establish and maintain an on-site safety team throughout the duration of construction. The safety team shall be established prior to the commencement of work under the Agreement. Contractor will also, prior to commencement of work under the Agreement, identify in writing to CHOP one of Contractor's employees to serve as an on-site safety officer. The onsite safety officer will lead the Contractor's safety team, is responsible for the overall safety of the site, and is a single point of contact for CHOP concerning project safety. The safety officer must walk the project site every day.

NOTE - These forms and policies are updated on a regular basis and thus are subject to change. It shall be the responsibility of Contractor and Contractor Representatives to review the CHOP Contractor Manual regularly to ascertain any policy changes, and to implement compliance with those changes. A construction manager/contractor is required to attend the Interim Life Safety Meetings in order to stay abreast of safety issues and news updates related to work at CHOP. The CHOP Contractor Manual and our Standards are extremely demanding and will require your attention to detail.

By signing below, a company officer, project superintendent, and project safety officer of <Insert CM name> acknowledge and agree that they have read and understand this Exhibit M and all policies and procedures outlined in the CHOP Contractor Manual, and that compliance with these CHOP policies is mandatory and will not be grounds for claims for extra work, including but not limited to, change orders or time extensions.